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|---------------------------------------------|---------------------------------------------------------------|
| <b>Meeting Name:</b>                        | Cabinet                                                       |
| <b>Date:</b>                                | 6 January 2026                                                |
| <b>Report title:</b>                        | Senior Resources Leadership Team Proposal                     |
| <b>Cabinet Member:</b>                      | Councillor Stephanie Cryan, Equalities, Democracy and Finance |
| <b>Ward(s) or groups affected:</b>          | All                                                           |
| <b>Classification:</b>                      | Open                                                          |
| <b>Reason for lateness (if applicable):</b> | N/a                                                           |
| <b>From:</b>                                | Strategic Director, Resources                                 |

## **FOREWORD - COUNCILLOR STEPHANIE CRYAN, CABINET MEMBER FOR EQUALITIES, DEMOCRACY & FINANCE**

I am pleased to bring this report to cabinet as a small but significant step in our journey towards delivering Southwark 2030 and the new posts will strengthen oversight of the council's procurement, commercial activity, digital, ICT and resident experience, ensuring better value for money, helping drive through savings and improved outcomes for residents.

Improving resident experience is a key priority of the council and the new post of Director of Digital and Resident Experience comes at a time when we have recently launched our new Resident Experience Plan and will give us the opportunity and expertise to capitalise on that work.

Likewise, in a difficult financial environment the new Director of Commercial Partnerships and Investments will give us enhanced commercial capability, stronger strategic oversight of procurement and more effective management of contracts and partnerships, taking on board recent feedback from the Overview and Scrutiny Committee.

We have a responsibility to our residents to use their money wisely and ensure their interactions with the council are seamless, productive and reassuring, these new posts help to deliver those goals.

## **RECOMMENDATIONS**

### **Recommendations for the Cabinet**

1. Approve the proposed changes to the Resources Senior Leadership Team structure as set out in this report.

2. Approve the creation of the following new posts:
  - **Director of Commercial Partnerships and Investments**
  - **Director of Digital and Resident Experience**
3. To note the Strategic Director of Resources will be leading a process to incorporate the two new director level posts into the Resources Senior Leadership Team structure as part of a wider reorganisation.
4. To delegate authority to the Strategic Director of Resources to progress recruitment to new Director-level roles.

## **REASONS FOR RECOMMENDATIONS**

5. The current Resources Senior Leadership Team structure has a significant number of direct reports (8) in addition to having oversight of the council's shared technology arrangement and sponsoring a major transformation programme. There is potential for enhanced collaboration in certain areas between roles such as commercial, pensions, digital & ICT and resident experience.
6. The key functions in Resources are required to deliver significant change over the next few years. Examples include:
  - Leading the council through the largest change to its General Fund financial position in a generation.
  - Leading the council through to a healthier Housing financial position.
  - Respond to changes brought about through Pension Scheme reform from an investment, governance and administrative perspective.
  - Deliver a new HR, payroll and finance system.
  - Deliver the council's core place master plans such as Old Kent Road, Elephant & Castle and Canada Water within a difficult external market.
  - Fundamentally remove the council's delivery model for its digital and technology services into new arrangements.
  - Strengthen the council's procurement arrangements through more consistent coordination and oversight.
  - A requirement to drive greater visibility and strategic alignment over capital resource allocations.
7. This, therefore, requires a wide reorganisation of roles and responsibilities within the Resources portfolio which ultimately will deliver an efficiency saving back to the council. The posts specified within this report will be funded from existing resources. The recommendations within this report are required to satisfy the council's constitution however further actions to reorganise other functions will be taken within officer delegated authority.
8. The recommendations in this report are designed to strengthen leadership capacity to deliver Southwark 2030 by enhancing strategic oversight of

procurement, commercial activity, digital, ICT and resident experience, ensuring better value for money and improved outcomes for residents. The shifting financial environment and the scale of third-party spend require enhanced commercial capability, stronger oversight of procurement and more effective management of contracts and partnerships. The transformation of Digital, ICT, data and resident experience is a major opportunity area for the council and requires strategic leadership and expertise.

9. Forthcoming national changes linked to the Local Government Pension Scheme pooling will alter the council's responsibilities for investment activity, making clearer strategic oversight essential.
10. Enhancing senior leadership across digital, commercial and resident experience will enable an ambitious One Council approach, aligning priorities across directorates and creating the conditions for whole-system transformation.

### **ALTERNATIVE OPTIONS CONSIDERED AND NOT RECOMMENDED**

11. The council could maintain its existing Senior Resources Leadership Team structure. However, this would limit progress to delivering a consistent, resident-focused approach to digital, ICT and data and constrain efforts to improve commercial capability and procurement oversight.

### **POST DECISION IMPLEMENTATION**

12. Subject to Cabinet approval of the recommendations in this report the timeline for implementation will run as follows:

| <b>Key activity</b>            | <b>Target Completion date</b> |
|--------------------------------|-------------------------------|
| New director posts recruitment | January 2026 onwards          |
| Directors in post              | May 2026                      |
| Wider reorganisation           | May 2026 onwards              |

### **BACKGROUND INFORMATION**

13. Southwark is operating in the context of increasing financial pressures, rising demand for services and a desire to significantly improve resident experience and outcomes through its Southwark 2030 goals and delivery plan. The financial pressures require an emphasis on value for money, financial savings and commercial capability to ensure that the council can operate sustainably. While the focus on outcomes for residents demonstrate our ambitions to deliver high-quality and high-impact services.
14. The council is making significant improvements through existing programmes and projects, however, in order to meet our future ambitions; a fundamental step change in how the council operates is required.

15. Services covering digital, technology, resident experience, commerciality and procurement are key to creating new and more affordable ways of delivering for Southwark residents. This report proposes the creation of the following Director posts to lead a step-change in these areas to improve outcomes for residents:
- Director of Commercial Partnerships and Investments
  - Director of Digital and Resident Experience
16. It is proposed that the creation of these roles specifically will be cost neutral and delivered in conjunction with wider changes within the Resources Directorate which overall should deliver a saving to the council.

## **KEY ISSUES FOR CONSIDERATION**

17. Southwark has a major opportunity to modernise how it delivers services by strengthening leadership across digital, data and resident experience. The council's digital strategy sets a clear ambition for smarter, more inclusive and outcome-focused services, supported by better use of technology and information.
18. With major programmes such as Southwark 360 and the insourcing of Shared Technology Services underway, the council is creating the foundations to build a more integrated digital environment that streamlines processes, reduces duplication and improves the experience for residents and staff. Harnessing these opportunities will also support the delivery of financial savings and contribute directly to the council's long-term financial sustainability.
19. A Director of Digital and Resident Experience would accelerate and scale this progress by providing clear strategic leadership and a unified approach across digital, ICT and data. This role would help the council design services around resident needs, increase digital take-up, reduce demand on higher-cost channels and ensure that technology investment delivers maximum value.
20. Stronger digital integration and governance would also reduce reliance on legacy systems, avoid fragmented spending and support a more efficient, forward-looking organisation. Introducing this senior role will help Southwark unlock the full benefits of digital transformation and ensure these improvements translate into better outcomes and lower costs.
21. The Shared Technology Service has delivered valuable services that have helped Southwark progress its digital and technology capabilities. Transitioning these functions in-house will allow the council to build on this strong foundation, bring leadership closer to strategic decision-making, and realise significant financial savings. The Director of Digital and Resident Experience role will provide the leadership needed to deliver this change and ensure it maximises benefits for residents and the organisation.
22. There is also significant opportunity to enhance the council's commercial capability and strengthen its approach to procurement, contract management and partnerships. By developing a more coordinated commercial framework, the council can secure better value from its suppliers, negotiate more

effectively and generate greater financial benefits from its spend. A more strategic and high-performing commercial function would support the Medium-Term Financial Strategy, identify opportunities for savings and income, and ensure residents see the benefits of well-managed contracts and partnerships.

23. A Director of Commercial Partnerships and Investments would bring together this strategic leadership, helping the council embed consistent commercial standards, improve supplier performance and fully realise the value of its commercial relationships.
24. The role would lead a more proactive approach to managing spend, securing efficiencies, reducing potential waste and strengthening financial resilience. It would also ensure strong oversight of the pension fund, supporting long-term stewardship and alignment with emerging national requirements.
25. Many comparable boroughs already have senior roles of this kind; introducing one in Southwark would enable the council to maximise opportunities, deliver savings and ensure commercial activity is firmly aligned with organisational priorities.
26. Southwark is increasingly out of sync with comparable London boroughs, many of which have already elevated digital, resident experience, procurement and commercial functions to senior director level to drive transformation and financial sustainability.
27. Authorities such as Merton, Waltham Forest, Camden and Hounslow have invested in dedicated senior posts overseeing commercialisation, procurement, digital strategy and resident experience, recognising these as essential enablers of modern, efficient and financially resilient councils.
28. Southwark's current arrangements are fragmented across directorates and potentially limits the council's ability to keep pace with best practice, fully leverage commercial opportunities or deliver the level of digital transformation that other boroughs are achieving. Introducing these director roles would bring Southwark into alignment with sector standards and ensure the council is positioned to benefit from the key strategic advantages.

### **Policy framework implications**

29. This report supports the delivery of the council's Southwark 2030 vision, in particular the ambition to create a fairer, greener and safer borough by strengthening the council's organisational capability and ensuring services are designed around resident needs. The proposed changes to the Resources Senior Leadership Team structure are aligned to the following aspects of the Southwark 2030 strategy:
  - I. Delivering a stronger, fairer and more resilient council able to meet Southwark 2030 goals. The strategy highlights the need for modern, efficient and financially sustainable public services. Strengthened leadership across digital, ICT, data, procurement, commercial partnerships and resident experience will enable the council to plan and

deliver services that are more inclusive, accessible and effective for all residents.

- II. Improving outcomes for residents through better-designed, digitally enabled services. Southwark 2030 emphasises the importance of empowering residents, improving access to services and reducing inequality. A unified strategic focus on digital transformation and resident experience will support these aims by delivering more intuitive, user-centred and accessible services, reducing barriers for those who rely most on council support.
  - III. Ensuring value for money and long-term financial sustainability. The strategy's commitment to fairness and sustainability requires a more coordinated and commercially capable organisation. The senior roles proposed in this report will enhance oversight of procurement, strengthen contract management, improve financial stewardship, and maximise the value of the council's substantial third-party spend.
  - IV. Enabling whole-system transformation and cross-council collaboration. Southwark 2030 identifies the need for collaborative, integrated approaches to tackling the borough's challenges. The proposed leadership changes will promote a One Council approach, ensuring investment, digital transformation and commercial activity are aligned to shared outcomes and are delivered consistently across directorates.
30. All relevant legislation required to enable the delivery of the aforementioned Southwark 2030 goals will be followed, including the following:
- Local Government Act 1972
  - Access to Information Act 1985
  - Local Government Act 2000
  - Employment Act 2002
  - Equalities Act 2010
  - Trade Union Act 2016

## **Community, equalities (including socio-economic) and health impacts**

### **Community impact statement**

31. The proposals in this report are intended to strengthen leadership capacity across digital, ICT, data, commercial and resident-facing functions, ensuring the council can deliver modern, efficient and inclusive services that improve outcomes for all Southwark residents.

### **Equalities (including socio-economic) impact statement**

32. Under section 149 of the Equality Act 2010, the council has a duty when exercising its functions to have due regard to:
- the need to eliminate discrimination, harassment, victimisation and any other conduct that is prohibited by or under the Equality Act

2010

- the need to advance equality of opportunity between persons who share protected characteristics and those who do not
- the need to foster good relations between those who have protected characteristics and those who do not.

33. The protected characteristics are age, disability, gender reassignment, marriage and civil partnership, pregnancy and maternity status, race, religion or belief, sex and sexual orientation.
34. The proposals in this report are not anticipated to adversely impact on any of the duties defined in the Equality Act 2010.

### **Health impact statement**

35. There are no significant health implications arising from the proposals in this report.

### **Climate change implications**

36. There are no significant climate change implications arising from the proposals in this report.

### **Resource implications**

37. Subject to cabinet approval, the proposals in this report will be implemented in line with the council's agreed HR policies and procedures.

### **Financial implications**

38. The creation of the two new director posts is part of a wider change throughout the directorate which overall will deliver a financial return on investment to the council. This includes the exit from STS and related contractual obligations, reduction on expenditure interims and efficiencies across the council's procurement spend. The budgetary cost of these two roles is estimated to be between c£330k and £420k (c£380k at midpoint) based on two Grade 18 posts including oncosts.
39. The creation of the Director of Commercial Partnerships & Investments role will strengthen the council's commercial capability and financial oversight, enabling greater income generation and increased savings across the organisation. The budgeted cost of this role is estimated to be between c£170k and c£210k annually (c£190k at midpoint). The cost of this role will be met partially by the Pension Fund with the remainder by the General Fund (split to be determined). The General Fund budget requirement will be met from the early permanent contractual savings identified from within the directorate.
40. The creation of the Director of Digital & Resident Experience role will improve strategic oversight of digital investment and technology spend. The budgeted cost of this role is estimated to be between c£170k and c£210k annually (c£190k at midpoint). The cost of this role will be met through the early

savings already identified by STS through its review of ways to drive efficiencies from its current contractual arrangements and resourcing requirements.

The creation of the two new roles reflected in this report are not expected to lead to any redundancies.

### **Legal implications**

41. Under the council's constitution, cabinet is responsible for making any decisions regarding the strategic management of the council, including decisions on major reorganisations, major reallocations of functions between departments or chief officers, and the creation of posts at grade 18 or above.
42. Subject to the outcome of the council's job evaluation process, the two new positions discussed in this report are expected to be graded at level 18, which is the standard grade for director-level roles within the council.

### **Consultation**

43. The proposals in this report will be followed by a wider reorganisation to incorporate the new director-level posts. Any reorganisation will affect a small number of employees.
44. Any subsequent consultation required will be undertaken in line with the council's agreed HR policies and procedures and in consultation with affected staff their trade union representatives.

## **SUPPLEMENTARY ADVICE FROM OTHER OFFICERS**

### **Head of Procurement**

45. A response from the Head of Procurement is not required.

### **Assistant Chief Executive, Governance and Assurance**

46. This is a report to approve the proposed changes to the Resources Directorate Senior Leadership Team structure and to approve the creation of two new Director posts.
47. The approval of the creation of new senior management posts, defined as chief officer posts (i.e. those posts reporting directly to the chief executive, or otherwise designated as chief officers by legislation) and director posts is reserved to full Cabinet by the constitution.
48. The cabinet will need to have due regard to the need to eliminate discrimination, advance equality of opportunity, and to foster good relations between people with protected characteristics and others in accordance with the public sector equality duty in section 149, Equality Act 2010.



## Strategic Director, Resources

49. This report seeks approval to create two new Director posts within the Resources directorate senior leadership structure. The total budget requirement for these roles is estimated to be between c£330k and £420k (c£380k at midpoint) based on two Grade 18 posts including oncosts. The cost of these roles is expected to be managed within the service and met from early efficiency savings being made in 2026/27. There will be a need to closely monitor the action plans to deliver the contract efficiency savings to ensure that the cashable savings are fully realised and delivered in year to meet the permanent costs of the roles. It is expected that these roles will enable the council to unlock greater efficiencies over the medium term.
50. These are two new roles within the service and the proposals in the report outline that whilst there will be changes within the wider team there are no redundancies expected from this change. However, it should be noted that should there be any wider restructuring within the directorate this would be subject to the council's governance and approval procedures and the normal HR policies and procedures. Any resultant financial implications associated would need to be considered and met through the services current budget envelope.

## BACKGROUND DOCUMENTS

| Background Papers | Held At | Contact |
|-------------------|---------|---------|
| None              |         |         |

## APPENDICES

| No.  | Title |
|------|-------|
| None |       |

## AUDIT TRAIL

|                                                                         |                                                               |                        |                          |
|-------------------------------------------------------------------------|---------------------------------------------------------------|------------------------|--------------------------|
| <b>Cabinet Member</b>                                                   | Councillor Stephanie Cryan, Equalities, Democracy and Finance |                        |                          |
| <b>Lead Officer</b>                                                     | Strategic Director, Resources                                 |                        |                          |
| <b>Report Author</b>                                                    | Alice Granville, Assistant Director of Change                 |                        |                          |
| <b>Version</b>                                                          | Final                                                         |                        |                          |
| <b>Dated</b>                                                            | 16 December 2025                                              |                        |                          |
| <b>Key Decision?</b>                                                    | Yes                                                           |                        |                          |
| <b>CONSULTATION WITH OTHER OFFICERS / DIRECTORATES / CABINET MEMBER</b> |                                                               |                        |                          |
| <b>Officer Title</b>                                                    |                                                               | <b>Comments Sought</b> | <b>Comments Included</b> |
| Assistant Chief Executive, Governance and Assurance                     |                                                               | Yes                    | Yes                      |
| Strategic Director, Resources                                           |                                                               | Yes                    | Yes                      |
| <b>Cabinet Member</b>                                                   |                                                               | Yes                    | Yes                      |
| <b>Date final report sent to Constitutional Team</b>                    |                                                               |                        | 16 December 2025         |